



Wings EZ was the winner in our accounting software test last year

stock valuation only by the FIFO and Weighted Average method.

Wings EZ allows for customising of reports, fonts, page setup, and the date and number system. There is also the option of setting commas as per the Indian or American style.

One helpful feature in Wings EZ is the repair data function—this function enables the user to upgrade data present in a previous version to a new version of the software. Also possible is the recovery of a data backup using MS Word or Excel.

The only drawback of the package is, it takes quite a long time to start up, and setting it up is rather difficult.

Conclusion

All the software we tested had the same basic functions. Though there was a little variation here

and there, but overall, it doesn't matter. Each vendor is just trying to outdo the other. Tally 6.3 offered online help, and this is a decent feature. Simply Accounting will let you take your business online. Almost all the software mentioned lets you print graphs and reports for presentations. The software help for all the packages was good, but Wings EZ was the best.

Choosing a winner from amongst the eight is possibly the hardest thing to do right now. Considering its widespread use, affordable price and easily accessible support, Tally should remain firmly on its throne. However, T++, with its intuitive interface and wholesome set of features, impressed us a great deal.

For an online business, nothing beats Simply Accounting Pro. If your company plans to take its business online, we recommend you opt for Simply Accounting Pro.

We declare T++ the winner based on the following: while doing Sales Order Processing in Tally when an order is created for a party, if the billing is only done for part of the quantity and the pending amount has to be raised in the subsequent sales order,

T++, with its intuitive interface and wholesome set of features, impressed us a great deal

then instead of only the pending quantity being displayed, the entire order is shown again. This would confuse the user, as he or she may not be very sure how much has already been billed and whether there is excess billing against that order or not. This is taken care in T++, where the subsequent sales invoice only shows the pending quantity in the sales order, and there is no repetition.

The next point where T++ scores over Tally is the tracking number—in Tally, the same tracking number can be assigned to two different customers, leading to errors when reports such as pending invoices etc. are generated. Since the tracking number is common to both transactions, it will become difficult to trace that particular transaction at a later date. In T++, however, the tracking number is unique to each transaction, and hence, the chances of such errors are eliminated.

T++ comes built in with the Tax Deducted at Source (TDS) function, which is absent in Tally. This will cost you Rs 4,500 more if you want it. ☐

deepak_dhingra@thinkdigit.com
preethi_chamikutty@thinkdigit.com
robert_smith@thinkdigit.com

VAT Demystified

VAT, or Value Added Tax, is a multi-point levy of sales tax, which enables one to claim a set-off of the tax that he or she pays on purchases. VAT is levied at every stage of production, and is levied only on the value added by the last seller. All over the world, VAT is payable on goods and services, as they form a part of the national GDP.

VAT is a form of collecting sales tax, under which tax is collected in each stage on the value added to the goods. Here's how it works: a dealer charges tax on the full price of the goods sold to the consumer, and at every end of the tax period, reduces two things—(a) the tax collected on the sale, and (b) the tax charged to him by the dealers from whom he purchased the goods. He then pays this to the Government as tax.

The VAT system is so designed that the final burden of the tax on goods is borne by the final consumer. Firstly, the tax liability on the sale made by the dealer will be calculated on lines similar to the present Sales Tax Act, and thereafter, tax paid on purchases will be deducted—and the net amount will be paid, or claimed for refund, by the dealer.

VAT has gained substantial importance due to the decision of the Government to introduce VAT in the states from April 1. It has been introduced with the primary objective of bringing into the legal system a neutral tax regime, and removes the overlapping effects of taxes.

In simple words, VAT will replace the present sales tax system. Under the current single-point system of tax levy, the manufacturer or importer of goods into a state is liable to sales tax. There is no sales tax on any further distribution channels. It is a multi-point levy on each of the entities in the supply chain with the facility of set-off of input tax—the tax paid at the stage of purchase of goods by a trader, and on purchase of raw materials by a manufacturer. Only the value addition in the hands of each entity is subject to tax.

VAT levies will be administered by the Value Added Tax Act, and the rules made thereunder.

Let's take an example: Dealer A purchases goods for Rs 100, on which a tax of Rs 10 has been charged. Now he sells the goods for Rs 120 to dealer B, on which he charges a tax of Rs 12 at 10 per cent. The

tax payable by dealer B will be only Rs 2, being the difference between the tax collected of Rs 12 and tax already paid on purchases of Rs 10. Thus, dealer B has paid tax at 10 per cent on Rs 20, which is the value addition at his hands.

Purchase price: Rs 100
Tax paid on purchase: Rs 10
(input tax)
Sale price: Rs 120
Tax payable on sale price: Rs 12
(output tax)
Input tax credit: Rs 10
VAT payable: Rs 2

Sales not liable to be taxed under the VAT Act

Since the VAT Act applies only to sales within a state, there are some sales that will not be governed by the VAT Act :

- ☐ Sales in the course of inter-state trade or commerce, which shall continue to be liable to tax under the Central Sales Tax Act, 1956
- ☐ Sales that take place outside the state
- ☐ Sales in the course of export or import